- identify different forms/instruments of State intervention;
- delineate the neoclassical rationale for State intervention in Market for efficiency;
- discuss the rationale for State intervention in Market for equity;
- explain State intervention mandated in the Constitution of India; and
- distinguish between intervention and interference.

6.1 INTRODUCTION

Political economy as evolved in the last few centuries in the West, dealt with the role of State in relation to economic affairs– both of public nature and private nature. As managing the State paraphernalia and making it help run the economy needed resources, fiscal operations of finding ways of mobilising resources and expending them had been an important aspect of a State's economic activities. With evolving complexities, monetary operations were generally parted from treasury functions of the government and entrusted with an independent and specialised agency, mostly within government domain and invariably under a separate law.

Societies and countries could progress because there were in existence certain institutions, which evolved over time practically in all civilised societies with variations and at differing pace. A legal framework ensuring existence of private property, an inheritance system for some assets and protection of contractual obligations has been a ubiquitous feature. It was realised quite early that many of resources are consumed in common and there had to be institutions to resolve issues should they arise in possession or use of such resources. In State-led societies, this task was given to or assumed by the State. State intervened in the economy for improving efficiency, enhancing equity, stabilising its activity level and balancing tradeoffs when they arose.

In the context of development, the expressed aspiration of post-war liberating colonies, led State in many newly independent countries to assume direct charge of running certain industries, besides educational and health facilities, regulating several others to seek efficiency and/or equity and promoting still others like financial institutions. In part, this was a reflection of the apparent success of the planning apparatus in the erstwhile USSR. But the USSR broke up and the constituents pursued market-oriented policies– known as perestroika (reforms) and glasnost (open-ness).

Relationship between State and Market across space and time has not been the same. So-called capitalism where quality and quantity of state invention distinctly differed from so-called socialism but both existed side by side for pretty long time. When most countries allowed market better, individual countries and regions differed not necessarily in proportion to the level of development. Over time, it appears that market dominated state and sought state to be a facilitator rather than a competitor by devising such formal institutions and designing them in such a way that market flourish and help the country grow. However, when crises struck such as the Great Depression of 1930s, the Great Recession of 2008-09 or Covid-19, the market operators sought the help from the State. In other times, either market sought or state sought the partnership between private sector and public sector in many development arenas which were traditionally taken up in public sector for a pretty long time. This partnership had to be in terms of sharing of resources, risk and revenue. Anyway, there have been swings in the relationship between the two, market and state, in terms of domination, competition and cooperation. However, the unit, given the limitation of space, would not devote much time on this aspect.

The focus of this unit is on State intervention in individual markets for improving both the efficiency and equity of outcomes. In addition, State plays paternal role of encouraging or discouraging consumption of certain goods. It also chooses to regulate as well as promote quite a few private activities, including those of economic nature. The unit devotes space to discuss the nature of State and market, the rationale of State intervention in market for efficiency and equity. It also discusses State intervention in the context of India.

6.2 STATE AND MARKET

State and market are two great institutions which humans have evolved over time, among several others, to resolve inter-personal or inter-group issues in people's life that arise from living together. Both are overarching in their scope. Broadly speaking, one is political and the other is economic; but they also seek to intervene in each other's sphere.

State supposedly evolved to perform watch and ward functions, to defend the society from external aggression and internal disturbances while market evolved to benefit from voluntary exchange of goods (and services) which was greatly facilitated with the invention of money as medium of exchange.

However, State has often been intervening in, some would argue even meddling in, the economic spheres of life. Justifications varies from time to time, giving impression that State and market are hand in glove. Property rights and inheritance laws as well as people's entitlements and obligations, which were traditionally evolved have been recognised by the State which either accorded sanction or tweaked them a little here and there. Nevertheless, formal state institutions always alongside informal societal institutions where institutions mean the rules of conduct for individuals and other entities to avoid conflicts should they arise. Generally, there is a tendency for State to assume greater scope by formalising institutions and occasions arise for them.

6.2.1 State and Government

It would be pertinent to point out basic difference between State and government though they may be used interchangeably. State has four essential elements of population, territory, sovereignty, and government. In fact, government works for the State as its agent. People are a collectivity of individuals connected intractably. Territory belongs to the State over which it has sovereignty and jurisdiction; and government is supposed to preserve, protect and defend that territory. While State is sovereign, the government is not. In a democracy, it is often asserted that people are sovereign as they choose the State, rather the government, they would like to be governed by.

Government keeps coming and going as per rules of the State– best codified in the Constitution. While State may appear to be abstract, it is which asserts sovereignty of a community of people. All individuals living in the territory, except those belonging to foreign States, are members of the State as its citizens. In India, there are 130 crore people, with 99.5 per cent being the citizens. While a few Indian citizens may be non-resident, few foreign citizens may be residents in India. In contrast, government is concrete, visible, and active, and involves a subset of people– some as representatives of people and some as employees in their service. For example, in India, there are around 545 MPs in the House of People, over 4000 MLAs in Stare Assemblies and over 30 lakh members in Panchayats and Municipalities, who are direct representatives of the people at some level of government.

Further, the form of government may vary from State to State. Government may be monarchial, aristocratic, dictatorship or democracy. It may have a presidential form or parliamentary one. It may be federal– with several fixed or flexible constituents, or unitary with centralised or decentralised administrative set-up. If federal, it may have several levels or tiers of governments. State exists independently of the form of government while people may choose the form of government.

However, the word State may have several meanings in popular usage. For example, in the Constitution of India, India is a State as well as a Union of States. (So is the case of the US.) Modern government normally has three wings, legislature, executive and judiciary. But the Constitution of India, for legal purposes, defines the State in Art 12, in relation to Fundamental Rights which must be adjudicated by Judiciary, as:

… "the State" includes the Government and Parliament of India and the Government and Legislature of each of the States and all local or other authorities within the territory of India or under the Government of India.

Finally, in the context of intervention, phrases State intervention and government intervention mean one and the same thing. When, however, it comes to failure, the phrase used is government failure– not State failure.

6.2.2 Market: Meaning and Forms

It seems, at some point in antiquity, quite possibly in different periods in different places, humans realised that voluntary exchange between two humans might lead to specialisation– thus to division of labour, and thereby raising production levels and thus bettering the possessions of both the exchangers. The same holds in inter-societal exchanges which might have been rare in the days when a society could still raid on other societies to improve upon its possessions. Once, a society is able to produce enough to maintain a regular army, it evolved as a State to defend itself against other societies. Rules for conduct of human affairs within a society had to be framed. Instruments might have had to be devised. For example, money is an instrument to facilitate exchange or transactions in market.

Size of market depends on the level of specialisation and division of labour, said Adam Smith. He is in fact referring to the size of economy in today's parlance, which is generally measured in terms of Gross Value Added (GVA). Another connotation, as in microeconomics, is a market for a commodity– good or service, or for a factor. Still another connotation is regular market referring to market place or periodic market referring to frequency. Nowadays, it may be real or virtual!